After being part of HM for eight long years, al Badr decided to separate from the HM in 1998. This was the direct result of the significant differences between al Badr leadership and the leaders of HM.

A more serious internal division emerged when in 2001 one of the senior commanders of HM, Majeed Dar, was replaced by another commander Saif ul Islam. The stated reason for this replacement was the poor health condition of Majeed Dar, but according to some writers and experts, the actual reason was the serious differences between him and the top leadership of JI. The experts saw these differences as a direct consequence of the decision of the Dar in announcing a unilateral ceasefire against India in Kashmir for a period of three months in July 2001. This decision was shock to Hizbul Mujahideen and the Jamaat Islami leadership, which got annoyed, and he was forced to step down from the Hizbul Mujahideen leadership. Although the JI top leadership had disassociated itself from this unilateral ceasefire announcement and warned of consequences of this negative decision, Hizbul Mujahideen did not do so. The top commander of HM, Syed Salahuddin, had said that he only differed on the length of ceasefire and that it will be for 15 days and not three months as had been announced by Dar earlier in a press conference. This led to differences between Syed Salahuddin and the top JI leadership, who wanted to fire him from the group, but did not do it because some HM commanders suggested that it would lead to a total division of HM.

An interesting situation developed after the expiry of 15 days of ceasefire when Syed Salahuddin announced the end of ceasefire while Dar refused this decision and announced to continue it for three months. As a result of this conflict, Majeed Dar announced his resignation from HM, which was not accepted and he was asked to continue to hold office for one more year to complete his term. During this period, the leadership of HM and JI continued to diminish his and his associates' role in important decisions of HM, particularly after reports of his meetings with the Indian spy agency RAW officials for participating in Kashmir elections. Finally, he was expelled from HM in May 2002 along with other commanders who supported him. Some of his associates were later recruited again into the ranks of HM.

HM established ties with Al Qaeda. In August 2012, Qazi Hussain Ahmed, the then Amir of Jamaat-e-Islami, spoke at the funeral of Engineer Ahsan Aziz, a commander of the Hizbul Mujahideen, who was